Business Economics and Financial Analysis

Mid II Assignment

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III CSM

1. Explain how cost Output Relationship helps managers in decision making.

The cost-output relationship explains the relationship between the cost incurred by a firm and the level of output produced. It helps management understand how costs change when production changes

Important cost concepts

1. Fixed cost

Fixed cost remains constant irrespective of level of production within a particular range

Ex: Rent, salaries, insurance

2. Variable cost

Variable cost change directly with the level of production

Ex: Raw materials, direct labour

3. Total cost

$$TC = FC + VC$$

4. Average cost

$$AC = \frac{TC}{Q}$$

where Q is quantity of output

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5- Marginal cost

$$MC = \frac{\Delta TC}{\Delta Q}$$

Importance of cost output Relationshing in Managerial Decision making

1- Production decisions

Its helps managers determine the most suitable level of production comparing costs with expected revenue.

2- Pricing Decisions

Knowledge of costs helps management fix an appropriate selling price that can cover costs and provide reasonable profit

3- Profit Planning

Managers can estimate expected profit at different levels of production and sales

profit = Total Revenue - Total cost

4- Break even analysis

cost output analysis helps determine the break-even point where total revenue equals total cost

$$BEP = \frac{\text{Fixed cost}}{\text{contribution per Unit}}$$

5- Shutdown Decisions

When a business is making losses, cost analysis helps determine whether production should continue or be temporarily stopped

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2. 5b From the following particulars calculate Break even point in terms of both quantity and value. production in units 10,000, sales price - R.5 per unit variable costs - Rs 20,000, Fixed costs - Rs, 12,000 2

Given

production = 10,000 units

selling price = ₹5 per unit

Total variable cost = ₹20,000

Fixed cost = ₹12,000

step 1 : calculate VC per unit

variable cost per unit $= \frac{20,000}{10,000}$

VC = 2

step 2 : Calculate contribution per unit

contribution = SP - VC

= 5 - 2

= 3

step 3 : calculate Break even point in quantity

BEP (units) $= \frac{FC}{\text{contribution}}$

$= \frac{12,000}{3}$

= 4,000 units

step 4 : calculate Break Even point in value

BEP (value) = BEP units x selling price

= 4,000 x 5

= 20,000

∴ Break Even point in quantity = 4,000 units

Break Even point in value = ₹20,000

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6a. How do you classify markets on the basis of competetion and explain the features of different markets.

A market is a system or arrangement through which buyers and sellers interact for the purchase and sale of goods

On the basis of degree of competition, markets are mainly classified into

1. perfect competition
2. Monopoly
3. Monopolistic Competition
4. Oligopoly

1. Perfect competition

It is a market structure where there are a large no of buyers and sellers selling a homogenous product.

Features

-> No individual buyer or seller can influence market price
-> Products sold by different firms are identical
-> Firms can freely enter or leave the industry
-> Buyers and sellers have complete information about market conditions
-> A single market price prevails

2. Monopoly.

Monopoly is a market structure where there is a only one s of a product or service and there are no close substitutes

Features

1 single seller
2 Large no of buyers

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3 Absence of close substitutes
4. High barriers to entry.
5. Firm and industry are the same.

3 Monopolistic Competition

1. Large no of sellers
2. Products are differentiated by quality, design, brand, packaging etc
3. There is relatively free entry and exit
4. Firms are good control over price
5. selling costs such as advertising are important

4. Oligopoly

Oligopoly is a market structure in which a small no of large firms dominate the market

Features

1. small no of sellers
2. products may be homogeneous or differentiated.
3. High barriers to entry
4. Firms are interdependent in their decisions
5. Advertising and sales promotion are important.
6. price competition may be limited.

4. Explain any four methods of pricing based on strateg

1. Price skimming strategy

Under price skimming, a firm initially fixes a high price for a new product and gradually reduces it

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Features

→ initial price is high
→ Suitable for innovative or technologically advanced products
→ Helps recover research and development costs quickly
→ Price can be reduced later to attract more customers

2 Penetration Pricing Strategy

Under penetration pricing, a firm fixes a low initial price to enter the market and attract a large no of customers

Features:

→ low initial price
→ Helps acquire market share quickly
→ Useful in highly competitive markets
→ Discourages potential competitors from entering.

3. Going Rate Pricing

Under this method the firm fixes its price according to prevailing market price
The firm may charge approximately the same price as its competitors

Features

→ simple method of pricing
→ Reduces price competition
→ Common in highly competitive markets
→ the market price becomes the main basis for fixing price

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4. Differential pricing.

Under differential pricing, the firm charges different prices to different customers or in different markets for the same or similar product, depending on factors such as demand, location, time or customer segment

features

→ prices differ among customers or markets

→ Based on differences in demand and purchasing capacity

→ Helps increase total revenue

5. Describe the advantages of and disadvantages of double entry book keeping

Double entry bookkeeping is a system of recording business transactions in which every transaction has two aspects and both aspects are recorded.

For every transaction

Total Debit = Total credit

Advantages

1. It provides complete record of all business transactions
2. since every transaction has two aspects, the system helps maintain accounting accuracy
3. The Trial Balance can be prepared to check the arithmetical accuracy of books
4. It helps prepare:
   - Trading account
   - P&L account
   - Balance sheet

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5. The system enables the business to determine its actual profit and loss
6. Financial Results of different years can be compared

Disadvantages

1. It is more complicated than single entry Book keeping
2. Proper maintenance requires knowledge of accounting principles
3. Small businesses may need to spend money on trained accounting staff
4. Recording every transaction in detail can be time consuming
5. Although the system helps detect many errors, some errors may still remain undetected.

6. Mr. Normal has following transactions in month of April. Write journal entries for the transaction

10th April : Commenced business with a capital of Rs. 1,00,000
11th April : Purchased goods from Veeru for Rs 20,000
13th April : Purchased Goods for Cash Rs 15,000
14th April : Purchased Goods from Abhiram for cash Rs 9000
16th April : Brought Goods from Shyam on credit Rs 12,000
17th April : Sold goods worth Rs 15,000 to Tarun
19th April : Sold goods for cash Rs 20,000
20th April : Sold goods to utsav for cash Rs 6,000
21st April : Sold goods to pranav on credit Rs 17,000
23rd April : Returned goods to Veeru Rs 3000

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Date	Particulars	LF	Debit ₹	Credit ₹
10 April	cash Alc Dr.		1,00,000	
	To Capital Alc			1,00,000
	(Being business commenced with cash capital)			
11 April	Purchases Alc Dr.		20,000	
	To Veeru Alc			20,000
	(Being goods purchased on credit from veeru)			
13 April	Purchases Alc Dr.		15,000	
	To cash Alc			15,000
	(Being ----)			
14 April	Purchases Alc Dr.		9,000	
	To ~~shyam~~ cash Alc			9,000
	(Being ---)			
16 April	Purchases Alc Dr.		12,000	
	To shyam Alc			12,000
17 April	Tarun Alc Dr.		15,000	
	To sales Alc			15,000
	(Being goods sold on credit ----)			
19 April	Cash Alc Dr. Dr.		20,000	
	To sales Alc			20,000
	(Being goods sold for cash			
20 April	Cash Alc Dr.		6,000	
	To sales Alc			6,000
	(Being goods sold to -----)			

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21 April	Pranav A/c	Dr.		19,000	
	To sales A/c				19,000
	(Being goods sold on credit to Pranav)				
22 April	Veeru A/c	Dr.		3,000	
	To purchase Returns A/c				3,000
	(Being goods returned to veeru				

7. Explain the funds flow as statement with suitable example

A funds flow statement is a financial statement that shows the sources from which funds are obtained and the uses or application of funds during particular period

objectives

1. To identify the sources of funds
2. To identify the applications or uses of funds
3. To explain changes in working capital
4. To understand financial policies of business

Preparation of funds flow stmt

step 1 : Prepare schedule of changes in working capital

step 2 : Calculate funds from operations

step 3 : prepare funds flow stmt

Example :

suppose a company has the following transactions during a year

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- Issue of shares = ₹ 100,000
- Sales of machinery = ₹30,000
- Funds from operations = ₹ 70,000
- purchase of machinery = ₹80,000
- Repayment of loan = ₹ 40,000
- Divident paid = ₹20,000
- Increase in working capital = ₹60,000

Funds Flow stmt

Sources of Funds	Amt ₹	Applications of Funds	Amt ₹
Issue of shares	1,00,000	Purchase of Machinery	80,000
Sale of Machinery	30,000	Repayment of loan	40,000
Funds from operations	70,000	Dividend Paid	20,000
		Increase in working capital	60,000
Total	2,00,000	Total	2,00,000

8. Ratios are really helpful for financial stmt analysis Distinguish your answer

Ratio analysis is a technique of financial stmt analysis in which relationships between different accounting figures are expressed in the forms of ratios

Importance of Ratio Analysis

1. Measures Profitability

Profitability ratios help determine the ability of a business to earn profits.

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Examples :

- Gross profit Ratio
- Net profit Ratio
- Return on capital Employed

2. Measure Liquidity.

Liquidity ratios show the ability of a business to meets its short term obligations

Imp ratios include

$$\text{current Ratio} = \frac{\text{current Assests}}{\text{current Liabilities}}$$

$$\text{Quick Ratio} = \frac{\text{Quick Assests}}{\text{current Liabilities}}$$

3. Measure solvency

Solvency ratios show the long-term financial stability of business

Examples :

- Debt-Equity Ratio
- proprietary Ratio
- Interest Coverage Ratio

4. Measure Efficiency

Activity ratios indicate how efficiently assests and resources are being utilised

Examples :

- Inventory Turnover ratio
- Debtors Turnover Ratio
- Working capital Turnover Ratio

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5. Helps in comparison

Ratios allow comparison

- Between different years
- Between different companies
- Between actual performance and standards

9. What are the features of perfect competition

perfect competition is the market structure in which there are a large no of buyers and sellers dealing in a homogeneous product, and no individual buyer or seller can influence the market price

Features of Perfect competition

1 Large no of Buyers and sellers

There are very large no of buyers and sellers in market Each firm contributes only a small portion to of the total market supply

2. Homogeneous product:

All firms produce and sell identical or homogeneous products. Therefore, buyers have no preference for the product of one seller over another

3 Free entry and exit

Firms are free to enter and ex the industry when profits are available and leave the industry when they incur losses

4. Perfect knowledge

Buyers and sellers have complete knowledge about the market conditions, including prices, demand and supply

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5. Price Taker

An individual firm cannot determine the price. The market forces of demand and supply determine the price and every firm accepts that price

6. No Government Restrictions

There are generally no restrictions on the entry, exit, production, or movement of resources in the market

7. No Transportation Cost

It is assumed that transportation costs are absent or negligible. Therefore, the same product tends to have the same price throughout the market

10 Illustrate the stages of Product Life Cycle and the pricing strategies that may be followed at each stage

The major stages are

Introduction → Growth → Maturity → Decline

Introduction stage:

At this stage, the product is newly introduced into the market. sales are usually low and promotional expenses are high. Consumers may not be familiar with the product

Pricing strategies:

- price skimming
- penetration pricing

Objective: Create awareness and establish the product in the market

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2 Growth stage

During this stage, consumer acceptance increases rapidly sales and profits increase, and competitors begin entering the market

Pricing strategies :

- Maintain a competitive price
- Reduce the price gradually to attract more customers
- offers discounts
- Adjust price according to competitor prices

objective : Increase market share and strengthen the products position

3 Maturity stage

At this stage, the product has achieved widespread acceptance sales reach their max level and competition becomes intense

Pricing strategies :

- competitive pricing
- Discounts and special offers
- Differntial pricing for different customer groups
- Promotional pricing to retain existing customers
- Price reduction

Objective : Maintain a market share and maximize profits

4. Decline stage

In this stage, sales and profits start declining because of changing customer preferences, technological developments or the availability of substitute products

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Pricing strategies:

→ Reduce prices to clear existing stock

- offer discounts and special schemes
- Maintain the price if a loyal customer base still exists
- Withdraw the product if it becomes unprofitable

objective: Minimize losses and clear remaining inventory

→ The product life cycle management decide appropriate pricing, promotion and marketing strategies at each stage of a product's existence.

11. From the following balances of Mr. Giridhar as on 31-12-2019, prepare final accounts with closing stock of Rs. 10,000

Particulars	Rs	Particulars	Rs
Purchases	42,000	Creditors	10,000
Loan on Mortgage	30,000	Bills receivable	3,000
wages	30,000	cash at Bank	4,000
salaries	7,200	Debtors	30,000
Bills payable	4,000	Machinery	20,000
Loose Tools	1,000	Insurance	150
cash in Hand	1,000	Land	40,000
stationary	1,200	Capital	40,000
office Expenditure	700	Interest	1,500
Sales	96,400	Rent	650

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Given

Closing stock = Rs 10,000

Trading account of Mr. Giridhar

For the year ended 31-12-2019

Dr. Cr.

Particulars	Rs.	Particulars	Rs.
To purchases	42,000	By sales	96,400
To wages	30,000	By closing stock	10,000
To Gross Profit c/d	34,400		
Total	1,06,400	Total	1,06,400

Profit and Loss Account of Mr. Giridhar

Particulars	Rs.	Particulars	Rs
To salaries	7,200	By Gross profit b/d	34,400
To stationery	1,200		
To office Expenditure	700		
To Insurance	150		
To Interest	1,500		
To Rent	650		
To Net Profit	23,000		
Total	34,400	Total	34,400

Net Profit = Rs. 23,000

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Balance sheet of Mr. Giridhar

As on 31-12-2019

Liabilities	Rs	Assests	Rs
Capital	40,000	Land	40,000
Add: Net profit	23,000	Machinery	20,000
Adjusted Capital	63,000	Loose Tools	1,000
Loan on Mortgage	30,000	closing stock	10,000
Creditors	10,000	Bills receivable	3,000
Bills payable	4,000	Debtors	30,000
		Cash in Hand	1,000
		Cash at Bank	2,000
Total	1,07,000	Total	1,07,000

Therefore

- Gross Profit = Rs. 34,400
- Net Profit = Rs. 23,000
- Balance sheet Total = Rs. 1,07,000

12. Explain the role of Ratio Analysis in the interpretation of Financial statement

Role / Importance of Ratio Analysis

1 Measures Profitability

Ratios such as Gross profit Ratio, Net profit Ratio and Return on Investment help determine the profitability of a business

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2 Measures liquidity.

Current Ratio and Quick Ratio help determine the ability of a business to meets its short term obligation.

3 Measures solvency

Ratios such as Debt Equity Ratio help assess the long term financial stability and ability to repay long term debts

4. Helps in performance evaluation

Ratios allow management to compare the current performance with previous years performance

5. Facilities Comparison

Ratios make it possible to compare the financial performance of one company with other companies in the same industry.

6. Helps in Decision making

Management can use ratio analysis for decisions relating to investment, financing, pricing and working capital.

7. Useful to creditors and Lenders

Banks and creditors can assess the company's ability to repay loans and other obligations.

8 Helps in Financial Planning

Ratios provide useful information for forecasting and preparing future financial plans.

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13. A company has 1500 shares, market price of which is Rs. 45 per share and its Net profit after taxes for the financial year 2019-2020 is Rs. 4,50,000. Find the Earnings per share (EPS) and Price Earnings (PE) Ratio

Given

- Number of shares = 1,500 shares
- Market price per share = Rs 45
- Net profit after Tax = Rs. 4,50,000

1. Earnings per share (EPS)

$$EPS = \frac{\text{Net profit after Tax}}{\text{No of Equity shares}}$$

$$= \frac{4,50,000}{1,500}$$

EPS = Rs. 3,000

2. Price Earnings (P/E) ratio

$$P/E \text{ ratio} = \frac{\text{Market Price per share}}{EPS}$$

$$= \frac{45}{300}$$

P/E = 0.15 times

Final Answer

EPS = Rs. 300 per share

P/E ratio = 0.15 times

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14. What is journal and explain the process of journalizing transactions.

A journal is the book of original entry in which all business transactions are recorded chronologically (date-wise) Each transaction is recorded on the basis of the principles of Debit and credit

The process of recording transactions in the journal is called journalizing

Process of journalizing Transactions

The following steps are involved in journalizing.

1. Identify the transaction

Understand the nature of the business transaction and identify the accounts involved

2 Identify the accounts

Determine which accounts are affected by the transaction, such as cash Account, Purchases Account, sales Account, etc

3. classify the Accounts

Accounts are classified into:

- personal Account
- Real Account
- Nominal Account

4. Apply the rules of Debit and Credit

- personal Account: Debit the receiver, credit the giver
- Real Account: Debit what comes in, credit what goes out
- Nominal Account: Debit all expenses and losses, credit all incomes and gains

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5. Record the transaction in Journal The transaction is entered with :

- Date
- particulars
- Ledger Folio
- Debit Amount
- Credit Amount

6. Provide narration

Date	Particulars	LF	Debit ₹	Credit ₹
	Account Dr.		XXX	
	TO Account			XXX
	(Narration)			

15 Explain the Elements of Financial statements

Financial statement provide information about the financial performance and financial position of a business The main elements are

1. Assests

Assests are resources controlled by a business that are expected to provide future economic benefits

Examples : Cash, Buildings, Machinery. Furniture

Assests may be

- current Assests
- Non-Current Assests

2 Liabilities

Liabilities are the financial obligation of a business that arise

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from past transactions and are expected to result in an outflow of resources

Examples : Creditors, Bank Loans, Outstanding Expenses.

3 Equity / Capital

Equity represents the owners claim on the assests of the busines after deducting liabilities.

Formula.

Equity = Assests - Liabilities

4. Income / Revenue

Income is the increase in economic benefits arising from business activities

Examples : sales, commission Received, Interest Received and Rent Received.

5. Expenses.

Expenses are the costs incurred in earning income or carrying out business operations

Examples : Salaries, Wages, Rent, Electricity and Depreciation

6. Gains

Gains are increases in economic benefits that may arise from activities other than normal operations of the busines

Example : Profit on sale of machinery.

7 Losses

Losses are decreases in economic benefits other than normal operating expenses

Example Loss on sale of an assest

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16 From the following Trial Balance of Anil traders prepare Trading and Profit and loss Account

Purchases Rs. 40,000
sales Rs 70,000
wages Rs. 6,000
Rent Rs. 5,000
salaries Rs. 4,000
capital Rs 60000
closing stock 15,000
Also determine gross profit and net profil

Trading Account

Particulars	Amount ₹	Particulars	Amount ₹
To purchases	40,000	By sales	70,000
To wages	6,000	By closing stock	5,000
To gross profit c/d	29,000		
Total	75,000	Total	75,000

Gross profit

Gross profit = sales + closing stock - purchases - wages

= ₹70,000 + ₹5000 - ₹40,000 - ₹6,000

= ₹29,000

Dr. Profit and Loss Account Cr.

Particulars	Amount ₹	Particulars	Amount ₹
To rent	5,000	By Gross profit b/d	29,000
To salaries	4,000		
To Net Profit	20,000		
Total	29,000	Total	29,000

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Net Profit :

Net profit = Gross profit - indirect Expenses

= ₹29,000 − (25000 + ₹4000)

= ₹20,000

17- Venkatesh Enterprises started business during the year with the following transaction

i capital introduced ₹2,00,000

ii purchased goods Rs. 60,000 (Rs. 40,000 cash Rs. 20,000 credit)

iii sold goods Rs 90,000 (Rs 70,000 cash, rest on credit)

iv. Paid wages Rs 8,000

v - Paid rent Rs. 6,000

vi Received from debtors Rs 15000

v. Closing stock Rs. 20,000.

Journalize the following transactions.

Date	Particulars		Debit ₹	credit ₹
1.	cash A/c	Dr.	2,00,000	
	To capital A/c			2,00,000
	(Being capital introduced in to the busines			
2.	Purchases A/c	Dr.	60,000	
	To cash A/c			40,000
	To creditors A/c			20,000
	(Being -----)			
3.	cash A/c	Dr.	70,000	
	Debtors A/c	Dr.	20,000	
	To sales A/c			90,000
	(Being -----).			

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4.	Wages A/c To cash A/c (Being wages paid.	Dr.	8,000	8,000
5.	Rent A/c To cash A/c (Being Rent paid).	Dr.	6,000	6,000
6.	Cash A/c To Debtors A/c (Being cash Received from debtors).	Dr.	15,000	15,000
7.	Closing stock A/c To Trading A/c. (Being closing stock recorded at end of the year	Dr.	20,000	20,000

18. Explain the profitability ratios and their role in decision making.

profitability ratios are the financial ratios used to measure the ability of a business to earn profit in relation to its sales, assests or capital employed.

Profitability Ratios.

1. Gross Profit Ratio

$$\text{Gross profit Ratio} = \frac{\text{Gross profit}}{\text{Net sales}} \times 100$$

It show profit earned by from trading activities before indirect expenses.

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2. Net Profit Ratio

$$\text{Net profit Ratio} = \frac{\text{Net profit}}{\text{Net sales}} \times 100$$

It indicates overall profitability of the ratio business after considering expenses

3. Operating profit Ratios

$$\text{Operating profit Ratio} = \frac{\text{operating profit}}{\text{Net sales}} \times 100$$

It measures profit generated by from normal business operations

4. Return on Capital Employed (ROCE).

$$\text{ROCE} = \frac{\text{Profit before interest and Tax}}{\text{capital Employed}} \times 100$$

It measures how efficiently the capital invested in the business is being used.

Role in Decio Decision making :

1. They show whether the business is earning sufficient profit.
2. A decrease in profit ratios may indicate increasing costs
3. They help management determine suitable selling prices
4. Investors can compare profitability of different businesses
5. Current profitability can be compared with previous years or competitors
6. Current profitability can be compared with previous year
6. Management can identify areas requiring improvement
7. Profitability trends help in future business planning

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19. Demonstrate the use of solvency Ratios and Leverage Ratios in Financial Analysis

Solvency Ratios

Solvency Ratios measure the ability of a business to meet its long term financial obligation

Important solvency Ratios

1 Debt Equity Ratio :

$$\text{Debt Equity Ratio} = \frac{\text{Long term debt}}{\text{shareholders Equity}} *$$

It indicates the relationship between borrowed funds and owners fund.

2. Proprietary Ratio

$$\text{proprietary Ratio} = \frac{\text{shareholders funds}}{\text{Total Assests.}}$$

It indicates proportion of total Assests financed by shareholders funds.

3. Solvency Ratio

It indicates the ability of a business to meet its long term obligations

Leverage Ratios

Leverage Ratios measure the extent to which a company uses debt and other fixed financial obligations to finance its operations

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Uses in Financial Analysis

1. Determine the long term financial stability of the business
2. Measure the dependence on borrowed funds
3. Helps creditors assess the risk of lending money
4. Help investors evaluate the financial risk and return
5. Help management decide the appropriate debt-equity mix
6. Assist in evaluating the company's ability to meet interest and debt obligations

→ solvency and leverage ratios help assess the long term financial strength and risk of a business and are useful for investors, creditors and management in making financial decisions

20 Total Debt = Rs 1,00,000
Equity = Rs 2,00,000
Total Assets = Rs 3,00,000

Find
a. Debt Equity Ratio
b. Proprietary Ratio
c. solvency Ratio

given Total Debt = ₹1,00,000
Equity = ₹2,00,000
Total Assets = ₹3,00,000

1. Debt Equity Ratio

$$\text{Debt Equity Ratio} = \frac{\text{Total Debt}}{\text{Equity}}$$

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$$= \frac{1,00,000}{2,00,000}$$

$$= 0.5 : 1$$

∴ Debt equity Ratio = 0.5 : 1

Proprietary Ratio

$$\text{Proprietary Ratio} = \frac{\text{Equity}}{\text{Total Assests}}$$

$$= \frac{2,00,000}{3,00,000}$$

$$= 0.6667$$

Therefore,

66.67%

3. Solvency Ratio

Using the commonly used formula

$$\text{solvency ratio} = \frac{\text{Total Assests}}{\text{Total Debt}}$$

$$= \frac{3,00,000}{1,00,000}$$

$$= 3 : 1$$

∴ solvency Ratio = 3 : 1

21. Current Assests = Rs. 1,50,000

Inventory = Rs. 50,000

Current Liabilities = Rs. 75,000

Sales = Rs 3,00,000

Net profit = Rs 30,000

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Find

i Current Ratio

ii Quick Ratio

iii Net Profit Ratio

Also comment on liquidity and profitability.

given

current Assets - ₹ 1,50,000

Inventory = ₹ 50,000

current Liabilities = ₹ 75,000

Sales = ₹ 3,000

Net profit = ₹ 30,000

1. current Ratio

$$\text{current Ratio} = \frac{\text{current Assets}}{\text{current Liabilities}}$$

$$= \frac{1,50,000}{75,000}$$

$$= 2:1$$

current Ratio = 2:1

2. Quick Ratio

First calculate Quick Assets

Quick Assets = current Assets - Inventory

= 1,50,000 - 50,000

= 1,00,000

Now

$$\text{Quick Ratio} = \frac{\text{Quick Assets}}{\text{current Liabilities}}$$

$$= \frac{1,00,000}{75,000}$$

$$= 1.33:1$$

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∴ Quick Ratio = 1.33 : 1

3 Net Profit Ratio

$$\text{Net profit Ratio} = \frac{\text{Net Profit}}{\text{sales}} \times 100$$

$$= \frac{30,000}{3,00,000} \times 100$$

$$= 10\%$$

Net Profit Ratio = 10%.

Comment on Liquidity and profitability

Liquidity :

The current Ratio is 2:1 which indicates that the business has ₹2 of current assest for every ₹1 of current liabilities. This shows a good short term liquidity position The QR is 1.33 : 1 which is above 1:1 This indicates that the business has sufficient quick assests to meet its current liabilities even without relying on the sale of inventory

Profitability :

The Net profit Ratio is 10%. meaning the business earns ₹10 as net profit for every ₹100 of sales. This indicates the business is profitable, although the adequacy of 10% margin should ideally be judged by comparing it with previous years and industry standard